

NON-CREDIT QUALIFYING — STANDARD & HIGH BALANCE, FIXED

Occupancy	Max LTV/CLTV	# of Units	Max Base Loan	Min FICO	Max Ratios	Mortgage History
Owner Occupied	N/A	1-4	Per FHA loan limits	No minimum*	N/A	1x30 past 12 months and 0x30 for 6 months prior to case # assignment
Non-Owner	N/A	1-4	Per FHA loan limits	No minimum*	N/A	1x30 past 12 months and 0x30 for 6 months prior to case # assignment

*A FICO score is not required. A tri-merge credit report is required solely to validate the FICO score. A tri-merge credit report reflecting only the FICO score and a 12-month mortgage history is required for all mortgages on the subject property.

CREDIT QUALIFYING — STANDARD & HIGH BALANCE, FIXED

Occupancy	Max LTV/CLTV	# of Units	Max Base Loan	Min FICO	Max Ratios	Mortgage History
Owner Occupied	N/A	1-4	Per FHA loan limits	500	31/43*	1x30 past 12 months and 0x30 for 6 months prior to case # assignment
Non-Owner	N/A	1-4	Per FHA loan limits	500	31/43*	1x30 past 12 months and 0x30 for 6 months prior to case # assignment

*May exceed with compensating factors.

MAXIMUM LOAN AMOUNT

Maximum Loan Amount	Cannot exceed the outstanding principal balance minus the applicable UFMIP refund plus the new UFMIP. - Outstanding principal balance may include up to 60 days interest charged by the existing lender when the payoff is not received on the first day of the month, up to 2 months MIP due on the existing mortgage, late charges, and escrow shortages. - The maximum base loan amount must not exceed the original principal amount of the existing FHA-insured mortgage less any up-front MIP refund. See Additional Consideration for Maximum Mortgage below. - The case number must reflect Streamline without an appraisal. - For inclusion of closing costs — see Simple Refi.
Maximum Loan Term	30 years or the remaining term of the existing mortgage plus 12 years. Investment properties may only be refinanced for the outstanding principal balance.
Additional Consideration for Maximum Mortgage	Mortgages that meet the requirements for streamline refinance transactions without an appraisal are not subject to the standard county loan limits. Investment properties may only be refinanced for the outstanding principal balance and may not exceed county limits.
Modifications	If the existing loan being refinanced has been modified and the current balance exceeds the original principal amount, the borrower must come in with the difference at closing. Can never exceed the Original Principal Balance (OPB). Note: if the restructured loan being refinanced has a Servicemember's Civil Relief Act (SCRA) reduced interest rate, UFF must use the SCRA reduced rate to calculate the NTB for the borrower.

CREDIT

Credit Documentation	- Manual underwriting only — do not run AUS/TOTAL Scorecard. - Evidence of a valid Social Security Number is required on all loans (see Social Security Verification below). - Evidence of Refinance Authorization data and new case number assignment must be obtained from FHA Connection. - Title report to verify at least one borrower is listed as owner. - CAIVRS is not required. UFF will review all parties for LDP and GSA exclusion lists.
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CREDIT	
Social Security Verification (Non-Credit Qualifying)	To validate a borrower's SSN, UFF may complete an SSA-89 verification, or each borrower may provide a copy of their Social Security card or another acceptable document evidencing a valid SSN. Documentation must include the valid SSN but must not include evidence of the borrower's income. Alternate sources include the borrower's IRS 1098 from their current mortgage, school or military records, etc.
Credit Report — Non-Credit Qualifying	A tri-merge is not required for non-credit qualifying transactions. A FICO score is not required, but will be used for pricing purposes where applicable.
Mortgage Rating	On all mortgages: (1) rating is only required for the subject property mortgage(s); (2) evidence the loan has had no 30-day lates in the 6 months prior to case # assignment; and (3) no more than one 30-day late in the previous 12 months. • Servicing system screen prints (e.g., FISERV) are not acceptable to support mortgage payment history. • A credit report and/or credit supplement is required. • Loans with a modification, pre-foreclosure/foreclosure, or NOD on the subject property must follow the mortgage history requirements above. • Subject property mortgage must stay current through closing.
Payoff Statements	Current payoff statements for all liens to be satisfied must be provided. Mortgage payments must be current and paid within the month due.
Bankruptcy	Active Chapter 7 bankruptcy not permitted — must be discharged. Chapter 13 permitted with court approval and satisfactory trustee payment history. Non-credit qualifying.
Funds Required to Close	For non-credit qualifying Streamlines, when funds to close exceed the proposed PITIA, the full amount of funds to close must be sourced and seasoned with a statement showing the previous month's ending balance for the most recent month; if not shown, obtain statements for the most recent two months. All large and/or questionable deposits must be sourced and seasoned. Credit qualifying streamlines must be documented per standard manual underwriting guidelines regardless of the funds-to-close amount.
Credit Qualifying Streamline	For all mortgages on all properties with less than 6 months of payment history, the borrower must have made all payments within the month due. With greater than 6 months history, the borrower must have made all payments within the month due for the 6 months prior to case number assignment and have no more than one 30-day late for the previous 6 months for all mortgages. The borrower must have made the payments for all mortgages for the month prior to disbursement. Required documentation: if the subject mortgage is not on the credit report, a VOM evidencing 12 months payment history is required. Credit qualifying streamlines must meet all standard FHA credit requirements per UFF guidelines: • Income must be verified; credit report obtained and all debts verified. • A borrower may have only 1 credit score or no credit score. • Debt-to-income ratios must be computed. • Requires a statement showing the previous month's ending balance and at least 1 month PITIA reserves (1–2 units) or 3 months PITIA reserves (3–4 units). • A repayment plan must be in place for any IRS tax lien on credit or title; include the payment in the DTI. Credit qualifying must be considered when: (1) a borrower is deleted for reasons other than divorce, legal separation, or death; or (2) an original borrower is removed due to divorce, legal separation, or death, but the remaining borrower has not made at least 6 payments after the event and prior to FHA case number assignment.
Payment History — Other Debts (Credit Qualifying)	Housing and installment: 0x30 in 12 months; 2x30 in 24 months. Revolving: 2x60, 0x90 in 12 months.
Non-Credit Qualifying Streamline	• Income is not verified. The URLA must not include employment income in Part 2 or rental income in Part 3. • Income documentation is not required and the loan file cannot contain paystubs, W-2s, tax returns, etc. • If the initial URLA reveals income or the file contains evidence of current income, the loan must be converted to credit qualifying and ratios computed. • A valid SSN must be confirmed without providing income documentation. • If funds to close exceed the new PITIA, the full amount must be verified: statement showing the previous month's ending balance (or two months if not shown); large/questionable deposits sourced and seasoned. • Closing costs may not be financed into the new mortgage on a Streamline. • Neither Form 4506-C / Modelo SC 2907 nor tax transcripts are required. • A repayment plan must be in place and documented for any IRS tax lien on credit or title.

CREDIT	
Mortgage Payment History	Credit qualifying and non-credit qualifying loans: must be 0x30 for the most recent 6 months prior to case number assignment; no more than 1x30 in months 7–12 prior to case number assignment; and 0x30 after case number assignment through closing.
IRS Lien Subordination	Not required subject to: borrower(s) have a payment plan in place with the IRS; the plan will be paid off within 12 months; the plan shows at least 3 consecutive monthly payments made for the month due (prepayments not acceptable); and borrower(s) are current. These requirements apply to UFF-to-UFF streamline refinances only — no exceptions. Otherwise an IRS lien subordination agreement is required.
Assuming Borrower	Eligible without credit qualifying if 6 payments have been made since the assumption at the time of case number assignment and the previous borrower received a release of liability at assumption. Applies to mortgages without restrictions limiting assumptions to creditworthy borrowers only.
Adding Borrower	Individuals may be added to the loan without credit qualifying.
Deleting Borrower	A borrower is eligible without credit qualification if all borrowers on the existing mortgage remain on the new mortgage. Assumed mortgages are eligible provided the previous borrower was released from liability. Exception: a borrower may be removed from title and the new mortgage in cases of divorce, legal separation, or death when the decree or agreement awarded the property and payment responsibility to the remaining borrower (if applicable), and the remaining borrower can demonstrate they made the mortgage payments for a minimum of 6 months prior to case number assignment.

NET TANGIBLE BENEFIT	
Net Tangible Benefit	NTB must be met — refer to UFF FHA guidelines for detailed NTB requirements. For the streamline refinance of a restructured loan with an SCRA-reduced interest rate, use the SCRA reduced rate to calculate the NTB.

GENERAL	
Appraisal Requirements	Not required. Receipt or possession of an appraisal does not affect the maximum mortgage amount.
Loan Types	203(b) only. An existing 203(k) rehabilitation mortgage may be refinanced into a 203(b) after all work is complete and the previous lender has completed the 203(k) closeout in FHAC.
Max Cash Out / Principal Curtailments	Minor adjustment at closing not to exceed \$500 cash back. Principal curtailments are not permitted on borrower-paid transactions. If cash back exceeds \$500, the excess is applied to principal only if re-pricing would require the borrower to pay closing costs out of pocket and the borrower rejects the option to reduce the loan amount and redraw documents. Cash back from excess lender credit is not permitted.
Occupancy	Investment or secondary residences may only be made without an appraisal. Investment properties may only be refinanced for the outstanding principal balance and may not exceed county limits. One recent utility bill to document occupancy on an owner-occupied streamline. Verifying occupancy using employer documentation: permitted via written VOE with the borrower's address in the comment section or an employer letter on letterhead. If any mention of income is reflected, the loan must be underwritten as credit qualifying.
Seasoning	For properties with multiple mortgages, all mortgages must meet seasoning. GNMA (all streamlines and cash-out refis): at least 6 full monthly payments made AND 210 days elapsed between the first payment due date of the original loan and the first payment due date of the new loan. FHA streamlines — additional HUD seasoning based on FHA case number assignment date: at least 6 payments made on the FHA-insured mortgage being refinanced; at least 6 full months passed since the first payment due date; 210 days passed from the closing date of the original mortgage; if assumed, 6 payments made since the assumption.
PACE / HERO Liens	Streamlines with PACE/HERO liens must be converted to a rate/term or cash-out refinance; the liens can no longer be subordinated. ML 17-18 no longer permits FHA refinances with PACE/HERO liens.

GENERAL	
Unacceptable Sources of Income	Any unverified source of income; income determined to be temporary or one-time in nature; retained earnings in a company; stock options; trailing spouse income; VA education benefits (GI Bill); income derived from state-approved marijuana dispensary.
Unacceptable Sources of Assets	Retained earnings in a company, stock options, assets derived from state-approved marijuana dispensary, VA education benefits (GI Bill), student loans and/or grant funds, employer tuition reimbursements, unsecured borrowed funds, cash on hand, welfare benefits, and Section 8 Voucher Assistance.
Eligible Property Types	1-4 units, PUDs, condos. Double- or triple-wide manufactured homes permanently affixed to the foundation, built on or after June 15, 1976, meeting all HUD requirements. Single-wide manufactured homes must be currently serviced by UFF. Condo ID must be completed on FHA Connection (FHAC); project approval not required.
Manufactured Homes	The manufactured home and site must be converted to real estate prior to closing; proof of conversion must be documented.
Ineligible Properties	Co-ops; mobile homes; single-wide manufactured homes not currently serviced by UFF; Homes for Heroes; FHA secondary residences; state-approved medical marijuana producing properties; working farms; properties within a designated Coastal Barrier Resource System (CBRS); properties on Tribal Lands (Section 248), Hawaiian properties in Lava Zones 1 and 2, Native Hawaiian Housing Loan Guarantee Program (Section 184A); properties with sink holes.
Max # Financed Properties	No maximum number of financed properties; however, the maximum number of UFF loans to one borrower is 4.
Subordinate / Secondary Financing	Existing secondary financing: notes and deeds not required; the subordination agreement is always required (applies to all FHA refinances). The secondary financing amount should not be listed on HUD-92900-LT. New secondary financing: notes and deeds required, no exceptions. Refer to UFF FHA underwriting guidelines for additional requirements.
Non-Purchasing Spouse	May be added to title on a purchase or may remain on title when refinancing. No party other than the borrower or their spouse may have a vested interest in the property.
Eligible Borrowers	Permanent residents.
Ineligible Borrowers	Non-permanent residents; non-profit organization borrowers; individuals convicted of previous financial crimes; borrowers with delinquent federal non-tax debt; and all non-individual legal entities (corporations, general/limited partnerships, real estate syndications, investment trusts, trusts including inter-vivos and living trusts, and LLCs).
Vesting	Documents drawn to match the names confirmed through FHA Connection. Vesting should match what is currently on title and note.
Qualifying / HPML / Prepay	Fixed products qualify at note rate. FHA streamline transactions exceeding the Higher Priced APR threshold are permitted; the threshold calculation is the FHA standard (APOR + 1.15% + monthly MI percent). Prepayment penalty not permitted.
State Specific	Kansas: all owner-occupied properties with LTV exceeding 100% require an appraisal. Maine / Oklahoma: streamlines exceeding the Higher Priced APR threshold are not permitted; reduce the rate or APR fees below the threshold OR convert to a credit qualifying transaction (full documentation or FHA credit qualifying). Minnesota: qualify at note rate. Texas: if the 1st mortgage is subject to Texas Section 50(a)(6), FHA-insured financing is not permitted — once cash-out, always cash-out. Title policy will reference Section 50(a)(6) or Article XVI of the Texas Constitution (eff. 01/01/1998). Conditions and closing instructions must state no cash back to borrower is permitted, not even \$1. West Virginia: maximum LTV/CLTV is 100% excluding UFMIP; all FHA streamline transactions require credit qualifying.